Chapter 3 CLASSIFICATIONS OF AUDIT – II

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Learning Objectives

- After studying this chapter, you will be able to understand the classification of audit on the basis of organization structure namely Sole Proprietorship, Partnership, Joint stock company and trust.

TO BE RECALLED RECAP

In the previous unit we have studied the types of Audit and its advantages and disadvantages. We also studied the differences between Continuous Audit and Annual Audit and differences between Interim Audit and Continuous Audit.

3.1 Introduction

In this chapter we are going to have a detailed discussion about the classes of Audit. Auditing can be classified from various viewpoints. In this chapter, the detailed classes of audit like Sole Proprietor, Partnership, Joint Stock Company and Trust will be discussed.



3.2 Audit of Accounts of Sole Proprietor

Sole Proprietor or trader is a person who solely owns, manages and controls a business. Sole proprietor decides upon auditing the accounts and decides upon the scope of audit and appointment of auditor. There is no legal compulsion for audit of accounts of a sole proprietor but usually business concerns get audited especially when the volume of transaction is large. Before conduct of audit, the auditor should obtain an agreement from the proprietor stating the scope, conduct and any specific instructions of audit. The rights and duties of an auditor will depend upon the terms of agreement with the client. In future when the auditor is charged for negligence, he can protect himself by producing the agreement of audit.

3.2.1 Advantages

The sole proprietor get several benefits from audited accounts. Some of them are as follows:

1. **Accuracy of Accounts:** Audited accounts reveal the truthness and

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